Stock Market Investing 101

Module 1 Study Guide

Stock Market Basics

This guide covers every lesson of the module, using only words and figures from the lessons themselves. Work through it after watching the lessons, then use the checklist at the end to test yourself.

Lesson 1: How Stock Markets Actually Work

In this lesson: Defining What a Share Represents; How the TTSE Marketplace Operates; Step-b

Key points

- Shares represent true partial ownership in real businesses @ "share represents real ownership in a real business"
- The TTSE matches stock buyers and sellers electronically @ "Stock Exchange is the central regulated marketplace that"
- Market wealth building relies on long-term discipline @ "wealth in the stock market is about discipline"

Examples from the lesson

- I am so glad you are taking this step with us in Stock Market Investing 101.
- We are starting right at the beginning with Module 1, Stock Market Basics, and today’s topic is Lesson 1: How Stock Markets Actually Work.
- Imagine three friends in San Fernando who start a doubles shop.
- They divide the business into one hundred equal pieces, which we call shares.
- If you buy ten of those pieces, you literally own ten percent of the doubles shop.
- You do not have to fry the bara or wake up at three in the morning to mix channa.
- The current market price for one share of this company is TT$ 10.00.
- You decide to buy 100 shares, which means your base purchase cost comes out to exactly TT$ 1,000.00.
- Let us say your stockbroker charges a standard transaction fee of TT$ 15.00 for this trade.
- That means your total upfront investment to acquire those 100 shares is TT$ 1,015.00.
- That TT$ 1,015.00 pays for your total stock ownership plus the processing service.
- Now suppose two years pass, the company performs well, and the price per share increases from TT$ 10.00 to TT$ 14.00.
- Your 100 shares are now worth TT$ 1,400.00 on the open market.
- If you decide to sell your entire position at TT$ 14.00 per share, you will receive TT$ 1,400.00 gross proceeds.
- After subtracting a TT$ 15.00 broker fee on the sale, your net payout is TT$ 1,385.00.
- Subtracting your original TT$ 1,015.00 total cost leaves you with a net profit of TT$

370.00.

- In our next lesson, Lesson 2: Brokers, Accounts, and Placing Your First Order, we will show you exactly how to open a stockbroking account right here in Trinidad and Tobago and place your very first trade step by step.

Lesson 2: Brokers, Accounts, and Placing Your First Order

In this lesson: Licensed Local Brokers; Account Types & TTCD; Market vs Limit Orders; Worked

Key points

- Licensed brokers route trades to TTCD digital vault
- Individual and joint accounts offer distinct ownership options
- Market and limit orders balance speed against price control

Examples from the lesson

- I'm your instructor, and you are currently in Stock Market Investing 101, Module 1: Stock Market Basics.
- Today, we are diving into Lesson 2: Brokers, Accounts, and Placing Your First Order.
- A joint account is shared between two or more people, such as spouses or business partners, often featuring survivorship clauses.
- Suppose you decide to buy 500 shares of a local manufacturing company trading at TT$ 12.00 per share.
- The base purchase price for these shares equals TT$ 6,000.00.
- However, buying stock involves standard transaction fees, including the broker fee and exchange levies, which usually total around 1.5% of the transaction value.
- On a TT$ 6,000.00 order, that transaction fee equals TT$ 90.00.
- Adding the base share price and the transaction fee together brings your total outlay to TT$ 6,090.00.
- Imagine you later sell those 500 shares after they reach TT$ 15.00 per share.
- Your gross sale proceeds come out to TT$ 7,500.00.
- Just like when buying, transaction fees apply to the sale at roughly 1.5%.
- On a TT$ 7,500.00 trade, your transaction fee equals TT$ 112.50.
- Subtracting the transaction fee from your gross proceeds leaves you with net cash proceeds of TT$ 7,387.50.
- In our next lesson, Lesson 3: Market Indexes and What Moves Prices, we will examine how market indexes track overall market performance and what local factors drive share prices up or down.

Lesson 3: Market Indexes and What Moves Prices

In this lesson: Understanding Market Indexes; Corporate Earnings and Reports; Economic News

Key points

- TTSE Composite Index measures overall market health
- Earnings, news, and sentiment move individual stock prices
- Focus on business fundamentals over short-term market reactions

Examples from the lesson

- You are watching Stock Market Investing 101, Module 1: Stock Market Basics, Lesson 3: Market Indexes and What Moves Prices.
- Today, we are learning how to read major market indexes and understand the three core forces—news, earnings, and sentiment—that actually cause stock prices to move up or down in our local market.
- So, what causes an individual stock price to shift from TT$20 to TT$25 or slide down to TT$18?
- Imagine a local manufacturing company called Trinidad Beverage Company, whose stock is currently trading at TT$20 per share on the TTSE.
- You purchase 100 shares at that price, making your initial investment exactly TT$2,000.
- Excited by this good news, more buyers enter the market, and the increased demand drives the share price up by TT$4 to TT$24 per share.
- Your 100 shares are now worth TT$2,400, reflecting a paper gain of TT$400 based purely on positive company earnings.
- Conversely, imagine if the company had reported higher sugar costs and falling sales, causing the stock price to drop by TT$3 down to TT$17 per share.
- In that scenario, your 100 shares would be worth TT$1,700, representing a temporary paper loss of TT$300.

Recap checklist — can you say each one?

Lesson 1: How Stock Markets Actually Work

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☐ Market wealth building relies on long-term discipline @ "wealth in the stock market is about discipline"

Lesson 2: Brokers, Accounts, and Placing Your First Order

☐ Licensed brokers route trades to TTCD digital vault

☐ Individual and joint accounts offer distinct ownership options

☐ Market and limit orders balance speed against price control

Lesson 3: Market Indexes and What Moves Prices

☐ TTSE Composite Index measures overall market health

☐ Earnings, news, and sentiment move individual stock prices

☐ Focus on business fundamentals over short-term market reactions